APRIL 30, 2025

Fiserv Becomes First MALPB to Process Transactions

Atlanta, Georgia – Today, Fiserv MALPB, a wholly-owned subsidiary of Fiserv, Inc., a global provider of payments and financial services technology solutions, processed the first payment transactions under its

merchant acquirer limited purpose bank (“MALPB”) charter. The Department of Banking and Finance, State of Georgia (“Department”) approved Fiserv MALPB’s charter application on September 27, 2024, and issued a permit to begin business on April 11, 2025. Fiserv MALPB is the first chartered MALPB to process card-based payment transactions in the nation.

Approximately 70% of all payment transactions in the United States flow through companies with operations in Georgia, earning Georgia the nickname of “Transaction Alley.” In 2012, the Merchant Acquirer Limited Purpose Bank Act became law in Georgia. The purpose of the law is to

create an optional bank charter for merchant acquirers, many of which are located in Transaction Alley, in order to provide direct access to the payment card networks (i.e. Visa, Mastercard) without having to contract with a third-party bank sponsor to utilize its bank identification number (a practice referred to as rent-a-BIN).

Fiserv MALPB begins operations with capital in excess of the robust capital requirement mandated by Georgia law. Governor Brian P. Kemp stated that: “With today’s announcement, Fiserv is growing its commitment to the people of Georgia and furthering its positive impact on the state. As the first-of-its-kind bank charter in the nation, this milestone also reinforces

Georgia’s position as the leader in innovation when it comes to financial transactions. This groundbreaking step also enables Fiserv and other companies here in Transaction Alley to expand while keeping us the No. 1 state for processing payments.”

Upon issuance of the permit to begin business, Commissioner Kevin Hagler stated that: “The efficient and reliable processing of card-based payments is the backbone of the economic engine of this country. I am grateful for the foresight of Georgia’s political leaders to create this unique charter and provide the Department with the opportunity to directly participate and oversee certain participants within the dynamic and constantly evolving

payments landscape. The issuance of MALPB charters along with the Department's robust regulatory oversight will help strengthen the vibrant and diverse economy of this state by permitting the safe and sound growth of this critical industry to Georgia."

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